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Dancing stocks and risky numbers: *Why the stock market moves and how to navigate risk*

If you've ever paid any attention to stock market news, you know it can be extremely sensationalised. And that's coming from a stock market columnist herself! There are a lot of big words used to overcomplicate how the stock market is moving, and small dips of 1 or 2 per cent suddenly become 'looming crashes' with 'millions wiped out'.

The day of 12 March 2020 started off with a sunny morning. Before jumping out of bed, I checked my phone and scanned through the markets on my apps. It was three days after the US had declared travel bans due to the growing COVID-19 pandemic, when both the US stock market and the UK's FTSE 100 suffered from the greatest single-day percentage fall since the 1987 stock market crash. The Canadian S&P/TSX had also dropped 12 per cent — its largest fall since 1940.

Still cosily wrapped up in my duvet, I dropped a bit more money into the S&P 500 and Tesla (which at the time wasn't part of the S&P 500 just yet) through an app on my phone. I always like to keep some cash ready for any drops. Then I got out of bed and got ready for work. I didn't realise it was the bottom of the market — that's impossible to tell until after the fact, anyway — and frankly I didn't care.

For a long-term investor, markets will go up and down, it's just what happens.

The media, on the other hand, was having a field day: 'Global stock markets post biggest falls since 2008 financial crisis', 'Hundreds of billions wiped off values of indexes' and so on.

Let's talk about this. When news articles say things like 'hundreds of billions of dollars were wiped off the value of indexes', it sounds like many people must have lost their life savings, or at least a significant chunk of